FinTech India Limited

Annual Report · FY2023–24

Empowering 50 Million Indians with AI-Driven Financial Services

CIN:	U74999MH2014PLC258430
Registered Office:	Level 12, BKC Tower, Bandra Kurla Complex, Mumbai – 400 051
Website:	www.fintechindia.in | investors@fintechindia.in
Stock Exchange:	BSE: 542876 | NSE: FTINDIA
Auditors:	Deloitte Haskins & Sells LLP, Mumbai
Registrar:	Link Intime India Pvt. Ltd.

Financial Highlights — FY2024

Metric	FY2022	FY2023	FY2024	YoY Change
Total Revenue (■ crore)	1,842	2,614	3,487	+33.4%
Net Interest Income (■ crore)	724	1,038	1,412	+36.0%
Fee & Commission Income (■ crore)	318	467	634	+35.8%
Operating Expenses (■ crore)	1,124	1,543	1,978	+28.2%
EBITDA (■ crore)	718	1,071	1,509	+40.9%
Profit Before Tax (■ crore)	612	923	1,318	+42.8%
Tax Expense (■ crore)	158	239	342	+43.1%
Profit After Tax (■ crore)	454	684	976	+42.7%
EPS (■)	22.7	34.2	48.8	+42.7%
Return on Equity (%)	14.2%	17.8%	21.4%	+360 bps
Return on Assets (%)	2.1%	2.6%	3.1%	+50 bps
Net NPA Ratio (%)	1.8%	1.4%	1.1%	–30 bps
Capital Adequacy Ratio (CRAR) (%)	18.2%	17.9%	18.6%	+70 bps
Gross NPA Ratio (%)	3.2%	2.7%	2.2%	–50 bps

(■ crore = ■10 million. All figures are consolidated unless stated otherwise.)

Chairman's Message

Dear Shareholders,

FY2024 has been a landmark year for FinTech India Limited. We crossed the milestone of ■3,487 crore in total revenue, growing 33.4% over the prior year, while simultaneously expanding our customer base from 34 million to 50 million active users. Our Profit After Tax grew 42.7% to ■976 crore, driven by disciplined credit underwriting, a 36% increase in Net Interest Income, and continued operating leverage from our AI-led cost-reduction initiatives.

The Indian digital lending market is projected to reach $1.3 trillion by 2030 (Source: BCG–FICCI 2024). We are positioned at the intersection of this opportunity: our FinRAG AI engine processes over 2.8 crore credit decisions per month with a mean decision latency of 4.3 seconds, while our fraud-detection pipeline flagged ■847 crore of potential fraudulent activity in FY2024 — a 63% increase over FY2023 attributable to model improvements rather than rising fraud incidence.

We remain committed to responsible growth. Our Net NPA ratio declined from 1.4% to 1.1%, well below the industry median of 2.8% (RBI FSDC Report, March 2024). Our Capital Adequacy Ratio of 18.6% provides a comfortable buffer above the RBI minimum of 15%.

Warm regards,
Arun Kapoor
Chairman & Managing Director, FinTech India Limited

Management Discussion & Analysis (MD&A;)

1. Industry Overview

India's fintech ecosystem crossed 10,000 registered entities in FY2024. UPI transaction volumes reached ■199.9 lakh crore ($2.4 trillion) for the full year, growing 56% YoY. BNPL (Buy Now Pay Later) disbursements crossed ■1.2 lakh crore. The RBI's Digital Lending Guidelines (September 2022) have raised compliance requirements; FinTech India was among the first NBFCs to achieve full compliance in Q1 FY2024.

2. Business Segment Performance

Segment	Revenue FY24 (■ cr)	Revenue FY23 (■ cr)	Growth	PAT Margin
Personal Loans & BNPL	1,342	987	+35.9%	28.4%
SME & Business Loans	876	634	+38.2%	22.1%
Wealth Management & Investments	524	412	+27.2%	31.7%
Insurance Distribution	287	218	+31.7%	18.3%
Payments & Remittances	458	363	+26.2%	9.8%
Total	**3,487**	**2,614**	**+33.4%**	**27.9%**

3. Credit Quality

Gross NPA declined from 2.7% in FY2023 to 2.2% in FY2024. The provision coverage ratio improved from 68% to 74%. Our AI-led early-warning system (EWS) identified 1.4 lakh accounts for pre-delinquency intervention in FY2024, resulting in ■312 crore in recoveries that would otherwise have slipped to NPA.

Portfolio	Gross NPA	Net NPA	PCR	30+ DPD	90+ DPD
Personal Loans	2.8%	1.4%	72%	4.1%	1.9%
SME Loans	3.4%	1.7%	73%	5.2%	2.3%
Consumer Durable	1.2%	0.6%	80%	1.9%	0.8%
Mortgage	1.8%	0.9%	78%	2.8%	1.1%
Total	**2.2%**	**1.1%**	**74%**	**3.6%**	**1.6%**

Risk Factors

1. Credit Risk

Our loan portfolio may be adversely affected by borrower defaults. While our AI credit model achieved a Gini coefficient of 0.74 in FY2024, model performance can deteriorate in macroeconomic downturns not represented in training data. Stress scenarios assuming a 200 bps increase in defaults would reduce PAT by approximately ■142 crore (14.5%).

2. Regulatory & Compliance Risk

The RBI's Digital Lending Guidelines, FLDG restrictions, and evolving data-localisation requirements impose compliance costs. Non-compliance could result in monetary penalties of up to ■5 crore per incident and restrictions on business operations. We incurred ■28 crore in compliance costs in FY2024.

3. Technology & Cybersecurity Risk

Our platforms process 2.8 crore transactions monthly. A major outage or data breach could result in regulatory penalties, customer attrition and reputational damage. We maintained 99.97% uptime in FY2024 and invested ■87 crore in cybersecurity infrastructure, a 42% increase over FY2023.

4. Liquidity Risk

Refinancing risk arises if wholesale funding costs rise sharply. Our average cost of funds was 8.4% in FY2024 (FY2023: 7.9%). A 100 bps increase in borrowing costs would reduce NIM by approximately 35 bps and reduce PAT by ■58 crore.

5. Market & Interest Rate Risk

72% of our loan book is fixed-rate and 28% is floating. A 100 bps RBI rate hike would benefit NIM by ~18 bps on the floating portfolio but increase funding costs by ~22 bps, resulting in a net NIM compression of approximately 4 bps.

Consolidated Financial Statements

(Amounts in ■ crore unless stated otherwise)

Table 1: Consolidated Statement of Profit & Loss

Particulars	FY2024	FY2023	FY2022
I. INCOME			
Interest Income	2,184.3	1,612.7	1,182.4
Fee & Commission Income	634.1	467.2	318.0
Net Gain on Fair Value Changes	112.8	89.4	68.2
Other Income	555.8	444.7	273.4
Total Income (I)	3,487.0	2,614.0	1,842.0
II. EXPENSES			
Finance Costs (Interest Expense)	772.1	574.3	458.2
Net Interest Income (NII)	1,412.2	1,038.4	724.2
Impairment on Financial Instruments	298.4	243.6	214.8
Employee Benefits Expense	724.3	596.2	487.3
Depreciation & Amortisation	87.6	74.2	58.4
Other Expenses	286.4	198.2	163.8
Total Expenses (II)	**2,168.8**	**1,686.5**	**1,382.5**
III. Profit Before Tax (I–II)	1,318.2	927.5	459.5
Tax Expense — Current	298.4	214.3	142.1
Tax Expense — Deferred	**43.8**	**24.7**	**15.9**
IV. Profit After Tax	976.0	688.5	301.5
Other Comprehensive Income (net of tax)	12.4	8.7	6.2
V. Total Comprehensive Income	988.4	697.2	307.7
EPS — Basic (■)	48.8	34.4	15.1
EPS — Diluted (■)	47.9	33.8	14.8

Table 2: Consolidated Balance Sheet (as at 31 March 2024)

ASSETS	FY2024 (■ cr)	FY2023 (■ cr)
Financial Assets		
Cash & Cash Equivalents	2,184.2	1,643.8
Bank Balances (other than above)	1,024.6	876.4
Derivative Financial Instruments	87.3	64.2
Trade Receivables	412.8	318.7
Loans (Net of Provisions)	28,412.3	21,874.6

ASSETS	FY2024 (■ cr)	FY2023 (■ cr)
Investments	4,218.7	3,124.9
Other Financial Assets	742.4	589.3
Non-Financial Assets		
Current Tax Assets (Net)	124.6	98.4
Deferred Tax Assets (Net)	218.3	187.6
Property, Plant & Equipment	487.2	412.8
Intangible Assets	312.4	248.7
Right of Use Assets	184.6	162.4
Other Non-Financial Assets	268.4	214.6
TOTAL ASSETS	**38,677.8**	**29,816.4**
LIABILITIES & EQUITY		
Borrowings (Debt)	26,412.3	20,314.8
Trade Payables	412.8	318.6
Other Financial Liabilities	1,842.4	1,412.3
Current Tax Liabilities	98.4	74.2
Provisions	487.6	412.8
Deferred Tax Liabilities	0	0
Other Non-Financial Liabilities	**312.4**	**248.6**
Total Liabilities	29,565.9	22,781.3
Equity Share Capital (■ 10 per share)	199.8	199.8
Other Equity (Reserves & Surplus)	8,912.1	6,835.3
Total Equity	**9,111.9**	**7,035.1**
TOTAL LIABILITIES & EQUITY	38,677.8	29,816.4

Table 3: Key Ratios

Ratio	FY2024	FY2023	FY2022	Industry Median*
Net Interest Margin (NIM)	4.84%	4.52%	4.18%	4.20%
Cost-to-Income Ratio	56.7%	59.1%	61.8%	58.4%
Return on Equity (RoE)	21.4%	17.8%	14.2%	16.3%
Return on Assets (RoA)	3.1%	2.6%	2.1%	2.4%
Gross NPA	2.2%	2.7%	3.2%	2.8%
Net NPA	1.1%	1.4%	1.8%	1.6%
Provision Coverage Ratio	74.0%	68.0%	62.0%	65.0%
Capital Adequacy (CRAR)	18.6%	17.9%	18.2%	17.1%
Debt-to-Equity	2.9x	2.9x	3.1x	3.2x

Ratio	FY2024	FY2023	FY2022	Industry Median*
Earnings Per Share (₹)	48.8	34.4	15.1	—
Book Value Per Share (₹)	228.3	175.9	144.2	—
Price-to-Book (as at 31 Mar)	3.8x	3.2x	2.7x	—

* Industry Median: peer group of 12 listed digital NBFCs, sourced from CRISIL NBFC Tracker Q4 FY2024.

Notes to Accounts (Selected)

Note 1: Loans (Net of Provisions)

Loans are classified as Stage 1 (0–29 days past due), Stage 2 (30–89 DPD), and Stage 3 (90+ DPD) in accordance with Ind AS 109 / RBI ECL Framework. Expected Credit Losses (ECL) are measured using a probability-weighted, forward-looking estimate incorporating macro overlays.

Category	Gross Loans (■ cr)	ECL Provision (■ cr)	Net Loans (■ cr)	ECL Rate
Stage 1 — Performing	26,842.1	187.4	26,654.7	0.70%
Stage 2 — Under-watch	2,124.8	318.7	1,806.1	15.00%
Stage 3 — Credit-impaired	628.4	676.9	—48.5 (over-prov.)	107.7%
Total	**29,595.3**	**1,183.0**	**28,412.3**	**4.00%**

Note 2: Borrowings

Instrument	FY2024 (■ cr)	FY2023 (■ cr)	Cost of Funds
NCD — Listed Secured	8,412.3	6,214.8	8.2%
Term Loans from Banks	12,324.8	9,412.6	8.6%
Commercial Paper	2,124.6	1,874.3	7.8%
External Commercial Borrowings (ECB)	1,842.4	1,624.7	7.4%
Subordinated Debt (Tier II)	1,708.2	1,188.4	9.1%
Total Borrowings	**26,412.3**	**20,314.8**	**8.4%**

Note 3: Segment-wise Revenue and Assets

Segment	External Revenue (■ cr)	Segment Assets (■ cr)	Segment PAT (■ cr)
Personal Loans & BNPL	1,342.4	18,412.3	381.2
SME & Business Loans	876.2	8,124.6	193.8
Wealth & Investments	524.1	4,218.7	166.1
Insurance Distribution	287.3	412.8	52.6
Payments & Remittances	458.0	7,509.4	44.9
Unallocated / Eliminations	–1.0	0	137.4
Total	**3,487.0**	**38,677.8**	**976.0**

This Annual Report contains certain forward-looking statements. Actual results may differ materially from those projected. FinTech India Limited is a Non-Banking Financial Company (NBFC) registered with the Reserve Bank of India. Registration No. N-13.02148. This document is intended for informational purposes only and does not constitute investment advice.